

RED FLAGS IGNORED

▶▶ Whistleblower's allegations

Despite a whistleblower exposing irregularities in FY22—like same-day cash disbursements and repayments, and loans disbursed without client consent—lapses recurred, showing inadequate corrective action by the board

▶▶ No full-time CEO at micro finance subsidiary Bharat Financial

At a difficult time in the microfinance business, this was a glaring governance gap. The board should have pressed for a full-time CEO given the past missteps

▶▶ RBI's rejection of 3-year CEO term

When the RBI approved only a two-year extension for the then CEO Sumant Kathpalia instead of the three requested in March 2023, it should have alerted the board as such instances in other banks have led to the CEO's ouster

▶▶ Unexplained contingency provisioning

A large contingency provision in September 2024, without any clear justification, dented quarterly profits and triggered investor concerns. The board should have probed more about such large provisionings

▶▶ Key leadership exits overlooked

The resignations of the CFO and Company Secretary added to a pattern of senior exits. Rather than addressing possible underlying issues, the management let a burdened existing Deputy CEO take on the CFO's role

▶▶ Insiders only selling shares—not buying

Top executives like Kathpalia and Khurana were offloading shares, not acquiring them. This consistent selling by insiders should have alarmed the board—but no red flags were raised or clarifications sought



than 2%. “Uncertainty over retail depositor behaviour and the need to maintain high liquidity in the first half of 2025-26 may weigh on NIMs,” it says in its note.

“The bank should use the recent exits as an opportunity to reconstitute leadership with credible professionals who have strong domain expertise and execution focus across retail, SME, digital, and risk,” says Kalyanaraman of Practus.

Parakh of Bigul reasons that market confidence may hinge on board restructuring—independent directors with risk oversight expertise are vital. “Status quo risks regulatory intervention or investor attrition,” he says.

The promoters have said that they are fully committed to addressing the issues. “Though the capital adequacy of the bank is quite healthy, for business growth, should any further equity be required, IndusInd International Holdings, as the promoter of the bank, remains committed to supporting the bank, as it has done over the past 30 years,” Ashok Hinduja, the youngest of the four Hinduja brothers and Chairman of the Hinduja Group of Companies (India), said in a statement.

But as the Hinduja Group scales up its financial services play with Reliance Capital under its belt, the biggest challenge will be to put in place a strong senior management team and a robust governance framework. The regulators—RBI, Sebi, and the Insurance Regulatory and Development Authority of India—will also be much more vigilant now.

The bank has its task cut out as it navigates rising regulatory scrutiny while winning trust and maintaining profitability and stability. **BT**